Everyday Business Banking Guide

A plain-language sample document for learning and testing Retrieval-Augmented Generation (RAG)

About this guide
This guide explains common business-banking payment rules in everyday language. It covers payment limits, processing times, fees, and what happens when a payment looks suspicious. The bank and figures in this document are fictional and are provided only as sample data for software testing.

1. What is this guide about?

A business bank account helps a company receive money, pay suppliers, run payroll, and send money to other countries. Banks set rules to reduce mistakes and fraud. These rules can include how much money a company can send, who must approve a payment, when payments are processed, and what fees apply.

2. Who can approve a payment?

Companies should separate the person who creates a payment from the person who approves it. This helps prevent one person from sending money without a second person checking it. Larger payments may need approval from two authorized officers or an additional senior approver.

3. Example payment limits

The fictional bank in this example uses three account levels. A company's level depends on the average amount of money it keeps in the account. The limits below apply to automated payments that have not completed additional verification.

Account level	Average balance	Maximum total sent per day	Maximum single automated transfer	Who must approve?
Standard	INR 10 million to 50 million	INR 25 million	INR 5 million	One authorized officer
Premium	INR 50 million to 250 million	INR 100 million	INR 20 million	Two authorized officers
Enterprise	More than INR 250 million	INR 500 million	INR 75 million	Two officers plus a board-level approval token

Example: If a Standard account tries to send INR 6 million in one automated transfer, it is above the INR 5 million single-transfer limit. The company must use the required additional approval process before the transfer can proceed.

4. When are payments processed?

A payment's arrival time depends on the payment method and when the company submits it. If a payment misses the same-day cut-off time, it may be processed on the next banking business day. A banking business day normally excludes weekends and bank holidays.

Payment method	Typical processing hours (India time)	Same-day cut-off	How processing works
Domestic RTGS	7:00 AM to 6:00 PM	4:30 PM	Processed individually in real time during the service window
NEFT business payment	Available 24 hours	No single cut-off; batch processing applies	Processed in scheduled batches
International SWIFT transfer	9:00 AM to 5:00 PM	2:00 PM	Processed in hourly batches during the service window
Bulk payroll file	8:00 AM to 4:00 PM	1:00 PM	Two batches, scheduled around 11:00 AM and 3:00 PM

Example: A company submits an international transfer at 3:00 PM. The sample cut-off is 2:00 PM, so the payment may not be processed until the next banking business day. Submitting a payment does not guarantee that the recipient receives it immediately.

5. What fees might apply?

The bank may charge a fee for processing a payment. International transfers may also include a foreign-exchange (FX) margin, which means the exchange rate offered by the bank may differ from the market rate. Fees can depend on the payment method, amount, and account level.

Payment type	Amount or situation	Standard fee	Possible discount or exception
Domestic RTGS	Up to INR 5 million	INR 25 per transfer	No fee for Enterprise accounts
Domestic RTGS	Above INR 5 million	INR 45 per transfer	No fee for Premium and Enterprise accounts
International SWIFT	Any amount	INR 750 plus a 0.18% FX margin	Enterprise accounts pay a fixed INR 500 transfer fee; FX margin may still apply
Bulk payroll return	Each failed payment	INR 150 per failed payment	No waiver in this sample policy

Important: A fee waiver does not necessarily mean every cost is removed. A fixed transfer fee and a foreign-exchange margin are different charges. Always check which charge the waiver covers.

6. What happens if a payment looks suspicious?

Banks check payments to help identify fraud, money laundering, and payments involving restricted people or organizations. A payment may be stopped temporarily if the screening system finds a strong possible match. A match is a warning to investigate; it does not automatically prove that the customer has done something wrong.

In this sample policy, a match score above 85% puts the payment into a temporary review status called **AML_FREEZE**. While it is in this status, the customer cannot release the payment through the normal API or branch process.

To request a review, the company must provide a Source of Funds Certificate. In plain language, this is evidence showing where the money came from. The bank's Chief Compliance Officer must approve the release. The sample policy says this review should happen within 48 business hours. If the requested documents are not provided within 7 calendar days, the bank may hold the funds and submit a Suspicious Transaction Report (STR) to the appropriate authority.

7. What should a company do if it sees an unauthorized payment?

If a company notices a payment it did not approve, it should contact the bank in writing immediately and keep the payment reference, date, amount, and supporting evidence. This sample policy asks customers to report unauthorized wire debits within 24 hours of the debit notification.

Reporting after 24 hours may affect whether the company receives an immediate temporary credit while the case is investigated. The bank may place the disputed money in a separate holding account while it reviews the evidence. A temporary credit is not the same as a final decision that the bank will cover the loss.

8. Quick examples

Situation	What it means	What to do
A payment is above the account's single-transfer limit	The payment needs the required extra approval.	Ask the authorized approver to review it before resubmitting.
A payment is submitted after the cut-off	It may be processed on the next banking business day.	Check the payment status and tell the recipient about the likely delay.
The bank flags a possible sanctions match	The payment is paused for a compliance review.	Provide the requested source-of-funds documents and wait for formal clearance.
An unfamiliar debit appears on the account	The payment may be unauthorized.	Contact the bank in writing immediately and retain evidence.
A payroll payment fails	The recipient may not have received the money.	Review the failure reason, correct the details, and check any applicable return fee.

9. Frequently asked questions

Q: Can one employee create and approve the same payment?
A: The sample policy expects separation between the person who creates a payment and the person who approves it. The required number of approvers depends on the account level and payment amount.

Q: If I send money after the cut-off, is it lost?
A: No. In this sample policy, a payment submitted after the cut-off is held and processed at 8:00 AM India time on the next banking business day. Actual timing can depend on holidays and the payment network.

Q: What does an FX margin mean?
A: It is the difference between the exchange rate used for the customer's transfer and a reference market rate. It is separate from a fixed transfer fee.

Q: What does AML_FREEZE mean?
A: It is a temporary status used when a payment has a strong possible match during anti-money-laundering or sanctions screening. The payment stays on hold until the bank completes its review and gives the required clearance.

Q: How quickly should an unauthorized payment be reported?
A: The sample policy says within 24 hours of the debit notification. The safest practical step is to contact the bank immediately when the payment is discovered.

Q: Does a suspicious-payment alert prove fraud?
A: No. It indicates that the payment needs further review. The bank must assess the information and documents before deciding what to do.

10. Key terms in simple language

Term	Plain-language meaning
RTGS	A way to transfer money between banks, often used for high-value payments.
NEFT	A bank transfer service that processes payments in batches.
SWIFT	A messaging network banks use to coordinate many international payments.
Cut-off time	The latest time a payment can be submitted to be considered for that day's processing.
Dual approval	Two authorized people must approve a payment.
AML	Anti-money laundering: checks intended to detect and prevent money laundering.
Sanctions screening	Checking whether a person or organization appears on a restricted-party list.
Source of Funds Certificate	Documents explaining where the money for a transaction came from.
STR	Suspicious Transaction Report: a report submitted when a transaction raises a required level of suspicion.

Document status: Fictional sample for RAG development and testing. It is not legal, financial, or banking advice and does not describe the actual rules of any real bank.